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Principles of Management 2.0

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Chapter 4 Developing Mission, Vision, and Values

Learning Objectives



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- ❖ Understand the roles of mission, vision, and values in the planning process
- ❖ Understand how mission and vision fit into the planning-organizing-leading-controlling (P-O-L-C) framework
- ❖ See how creativity and passion and creativity relate to vision
- ❖ Incorporate stakeholder interests into mission and vision
- ❖ Develop statements that articulate organizational mission and vision
- ❖ Apply mission, vision, and values to your personal and professional career

Mission and Vision as P-O-L-C Components

Planning	Organizing	Leading	Controlling
1. Vision & Mission 2. Strategizing 3. Goals & Objectives	1. Organization Design 2. Culture 3. Social Networks	1. Leadership 2. Decision Making 3. Communications 4. Groups/Teams 5. Motivation	1. Systems/Processes 2. Strategic Human Resources

The strategy is how the firm aims to realize its mission and vision



Goals and objectives are the indicators of how well the strategy is succeeding

Mission, Vision, and Values

63% of over 1,000 firms surveyed globally reported using mission and value statements as a management tool.

Firms with clearly communicated, widely understood, and collectively shared mission and vision have been shown to perform better than those without them

Bain & Company

What is the difference?

Mission Statements

- Communicates the organization's reason for being, and how it aims to serve its key stakeholders
- Often integrates a summation of the firm's values
- Mission statements tend to be longer than vision statements

Vision Statements

- A **future-oriented** declaration of the organization's purpose and aspirations.
- Addresses **what** a firm wants to become
- Vision statements tend to be relatively brief

Starbucks describes six guiding principles in their full mission statement that also communicate the organization's values:

1. Provide a great work environment and treat each other with respect and dignity.

2. Embrace diversity as an essential component in the way we do business.

3. Apply the highest standards of excellence to the purchasing, roasting, and fresh delivery of our coffee.

4. Develop enthusiastically satisfied customers all of the time.

5. Contribute positively to our communities and our environment.

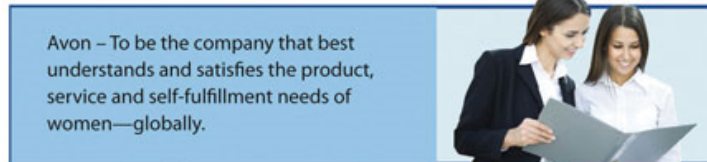
6. Recognize that profitability is essential to our future success.

Sample Missions

While a vision describes what an organization desires to become in the future, an organization's mission is grounded in the past and present. A mission outlines the reasons for the organization's existence and explains what role it plays in society. A well-written mission statement captures the organization's identity and helps to answer the fundamental question of "Who are we?" As a practical matter, a mission statement explains to key stakeholders why they should support the organization. The following examples illustrate the connections between organizations and the needs of their key stakeholders.

Harley Davidson	We ride with our customers and apply this deep connection in every market we serve to create superior value for all of our stakeholders.	
Internal Revenue Service	Provide America's taxpayers top-quality service by helping them understand and meet their tax responsibilities and enforce the law with integrity and fairness to all.	
Starbucks	To inspire and nurture the human spirit – one person, one cup and one neighborhood at a time.	
The Estée Lauder Company	Bringing the best to everyone we touch and being the best in everything we do.	
Limited Brands	Limited Brands is committed to building a family of the world's best fashion brands offering captivating customer experiences that drive long-term loyalty and deliver sustained growth for our shareholders.	
Fender Musical Instruments	We will exceed the expectations of music enthusiasts worldwide and create a community for individual expression by focusing on our people, products, and business excellence.	

An organization's vision describes what the organization hopes to become in the future. Visions highlight the values and aspirations that lay at the heart of the organization. Although vision statements have the potential to inspire employees, customers, and other stakeholders, vision statements are relatively rare and good visions are even rarer. Some of the visions being pursued by businesses today are offered below.



Sample Visions

Roles Played by Mission and Vision

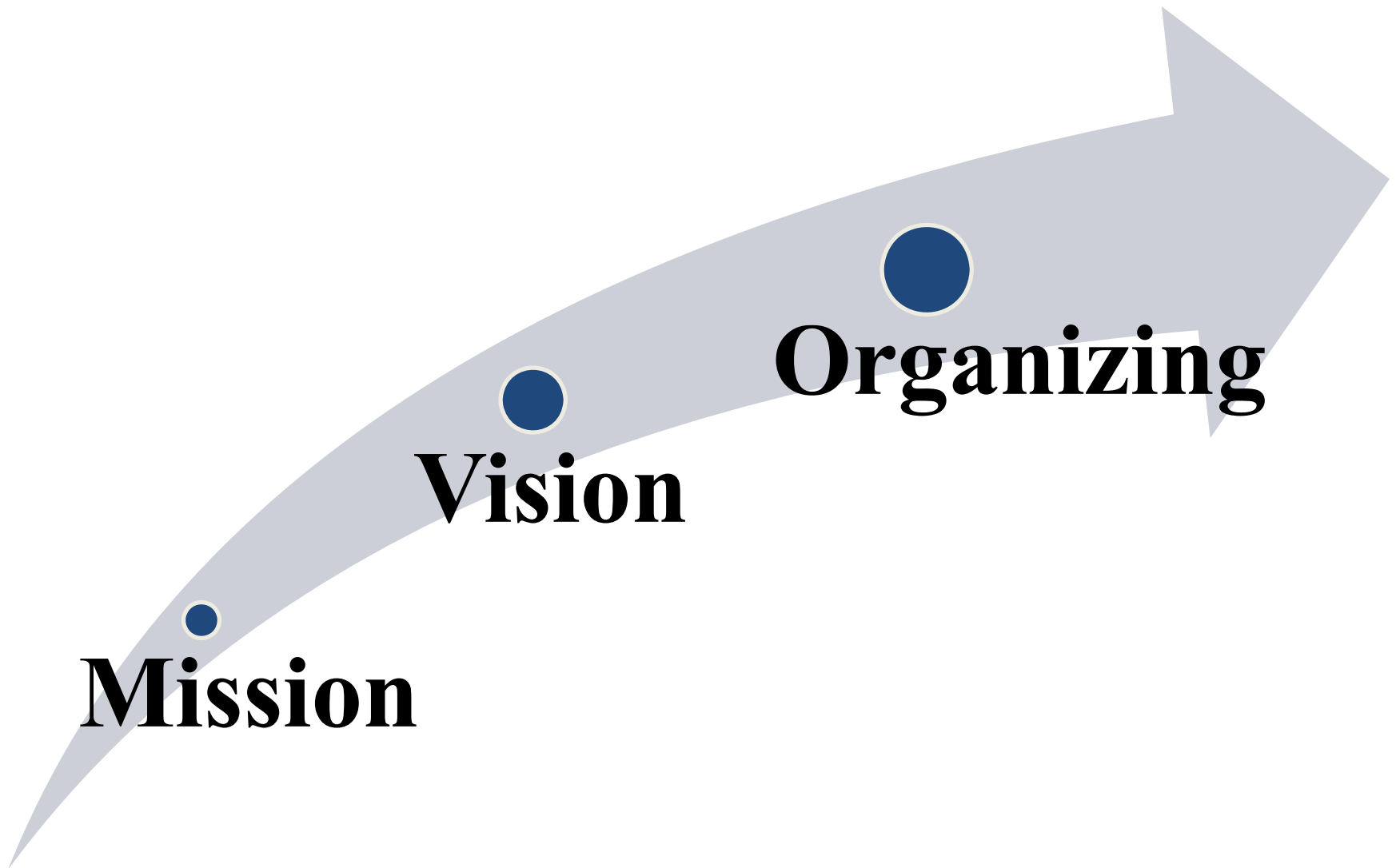
1. Communicate the purpose of the organization to stakeholders

2. Inform strategy development

3. Develop the measurable goals and objectives by which to gauge the success of the organization's strategy

Discussion

- ❖ Alone or in a group, think about the concept of a mission statement. Besides knowing what a mission statement is, do you feel it is important for organizations to have mission statements? Why or why not?
- ❖ What about a vision statement? Is it as important as or less important than a mission statement?
- ❖ How are values important to the content of mission and vision statements?
- ❖ What happens if an organization's mission and vision statements don't seem sincere? How might this affect an organization?
- ❖ How do mission and vision relate to a firm's strategy?
- ❖ In what ways are mission and vision important for organizational goals and objectives?

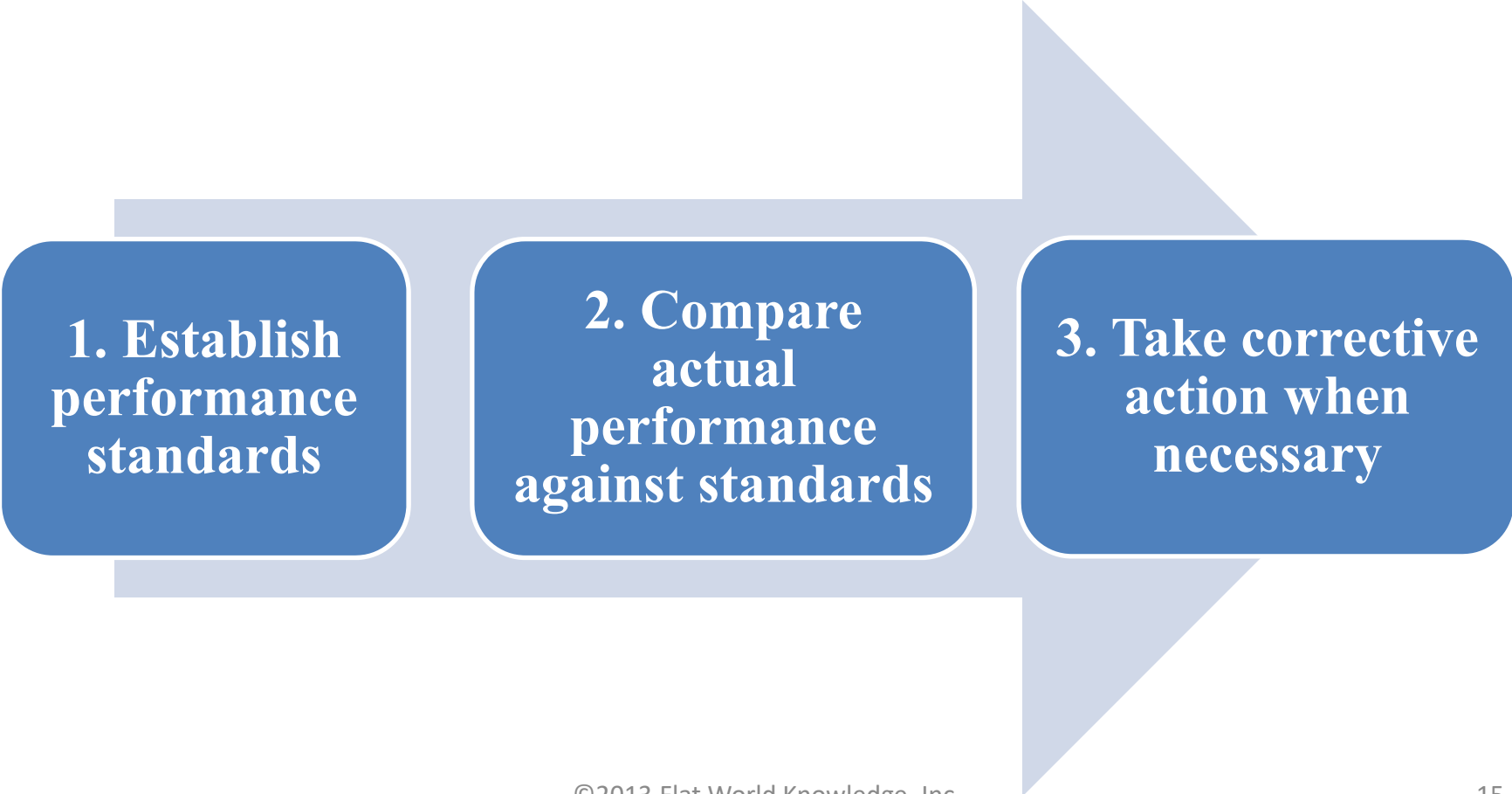


Mission, Vision, and Leading

Leading involves
influencing others
toward the attainment of
organizational objectives

Vision, Mission, and Control

Controlling consists of three steps



**1. Establish
performance
standards**

**2. Compare
actual
performance
against standards**

**3. Take corrective
action when
necessary**

Discussion

- How might mission and vision influence organizational design?
- How might mission and vision influence leadership practices?
- Why might a specific replacement CEO candidate be a good or poor choice for a firm with an existing mission and vision?
- Which aspects of controlling do mission and vision influence?
- What performance standards might reinforce a firm's mission and vision?

**Creativity is the
power or ability to
invent**

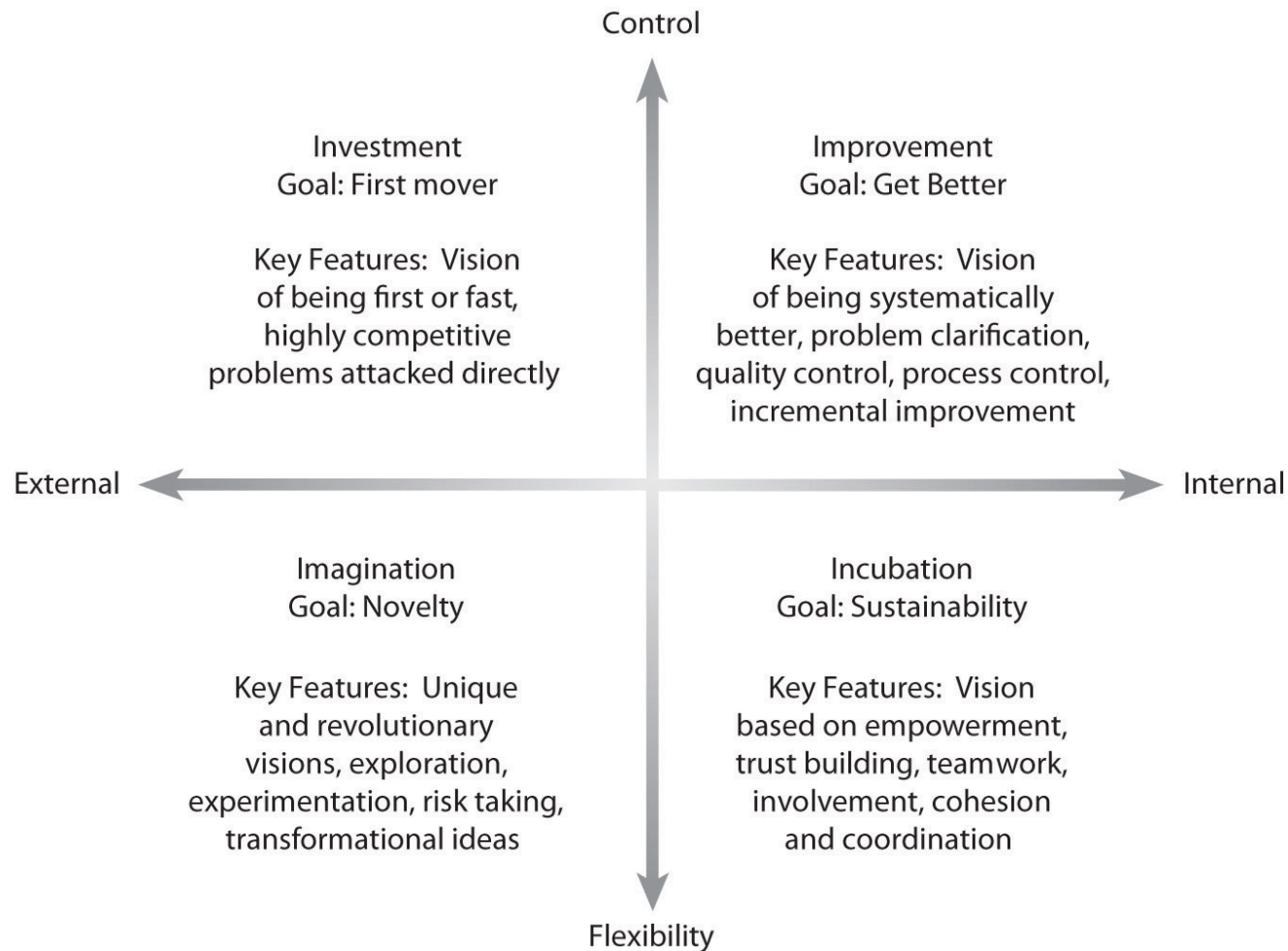


**Passion is an intense
emotion compelling
action**



**Mission
and
Vision**

Four Creativity Types



Creativity Tools: SCAMPER

- Inspires lateral thinking vs. programmed thinking
- Involves a reflective and probing style of asking questions

The following illustrates examples of how creativity can be fostered using the SCAMPER framework:

Definition	Example	
<i>Substitute.</i> What other ingredients, materials, times, or places can be used to create value?	Vegetarians can now enjoy soy versions of bacon cheeseburgers, once considered the sole domain of meat eaters, without any guilt.	
<i>Combine.</i> How can products, services, or other elements be combined to create new arrangements?	Based on the two top interests of its founder, Sweets and Spurs is a boutique in Norman, Oklahoma, that caters to locals by selling cupcakes and cowboy boots.	
<i>Adapt.</i> How can goods or services be altered to meet new needs?	E. L. James, best-selling British author of <i>Fifty Shades of Grey</i> , originally developed the book's ideas as online episodes of fan fiction based on the popular <i>Twilight</i> books and movies. James later removed the vampires and reworked and extended the plots of these episodes into a new trilogy—now the fastest-selling paperbacks of all time.	
<i>Modify.</i> How can products be magnified, minimized, or otherwise given a different shape?	Perhaps even less likely to melt in your mouth than in your hands, M&Ms have found a new life through their miniature cousins.	
<i>Put to other uses.</i> How can products created for one use be repurposed for another use?	Artists have recently found value in Lego blocks, originally developed for children, as a creative medium.	
<i>Eliminate.</i> What can be omitted, deleted, or understated to add value?	Although it lacked apps, the ability to play music, and YouTube access, the cordless phone was an impressive innovation when it first hit the market in the 1980s.	
<i>Rearrange.</i> Can other layouts, sequences, or patterns create value for organizations?	The idea of paying first and eating second was likely seen as ridiculous before McDonald's served billions in this manner.	

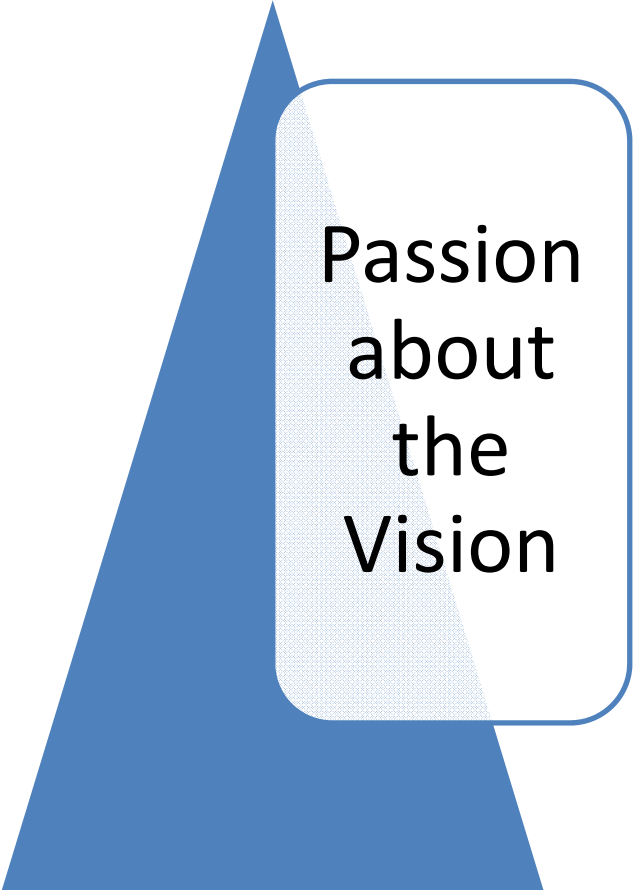
Creativity Tools: Nominal Group Technique

Here, we illustrate the steps of the nominal group procedure:

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1. Introduction: Briefly welcome participants, clarify the purpose of the group exercise, and explain the procedure to be followed and how results are to be used.
 2. Present question: Orally present the question that is written on the flip chart and clarify as needed.
 3. Silent generation of ideas: Each participant silently thinks of and writes down as many ideas as possible on a 3 x 5 card. Allow this for 5 to 10 minutes.
 4. Record ideas: In turn, each participant reads aloud one idea, and it is recorded on the flip chart for all to see.
 5. Continue until all ideas are recorded.
 6. Discourage discussion, not even questions for clarification.
 7. Encourage "hitchhiking," or expanding on another's statement. Ideas do not have to be from the participant's written list.
 8. Participants may pass a turn and then add an idea at a subsequent turn.
 9. Discourage combining ideas from individuals unless they are exactly the same.
 10. Group discussion: After all ideas are recorded, give the person who suggested the idea the opportunity to explain it further.
 11. Duplicates may be combined.
 12. Wording may be changed if the originator agrees.
 13. Delete ideas only by unanimous agreement.
 14. Restrict the discussion to clarify meaning. Do not discuss the value or merit of ideas.

- Generates numerous creative ideas
- Ensures everyone is heard
- Effective when there is concern that some people may not be vocal
- Builds consensus
- Recommended when there is controversy or conflict

Passion as Inspiration



Passion
about
the
Vision

“Engaged employees are not just committed. They are not just passionate or proud. They have a line-of-sight on their own future and on the organization’s mission and goals. They are ‘enthused’ and ‘in gear’ using their talents and discretionary effort to make a difference in their employer’s quest for sustainable business success.”

-Employee Engagement Report 2008

Disengaged and Dissatisfied Employees

75–80 percent of employees are either “disengaged” or “actively disengaged”

Only 20 percent feel very passionate about their jobs

Less than 15 percent agree that they feel strongly energized by their work

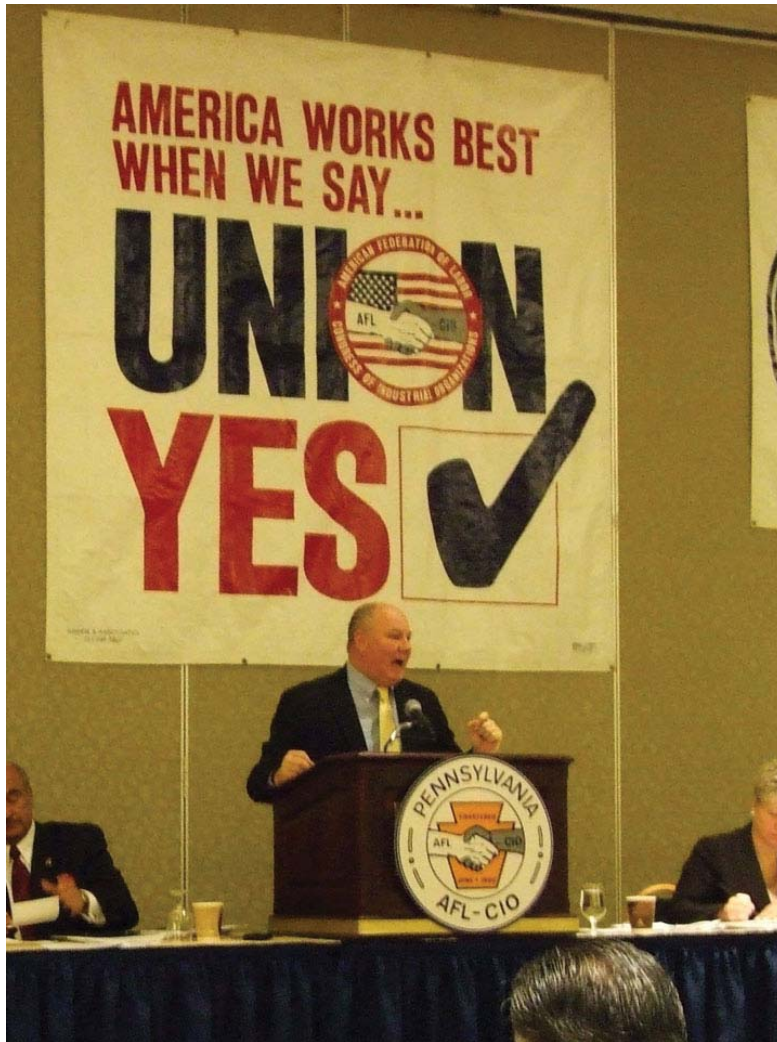
Only 31 percent (strongly or moderately) believe that their employer inspires the best in them

Discussion

- Think about a time when you have been especially creative. What factors do you think helped contribute to your creativity?
- Why is creativity relevant to vision and vision statements?
- What are some useful creativity tools?
- What is passion and why is passion relevant to vision and vision statements?
- What is the relationship between passion and engagement?

Stakeholders

The American Federation of Labor and Congress of Industrial Organizations (AFL–CIO) is a powerful stakeholder as a federation of unions that represented over 11 million workers in 2012.



<http://www.flickr.com/photos/labor2008/3272687139>

Stakeholder Mapping

Influence of Stakeholder	Importance of Stakeholder			
	Unknown	Little/No Importance	Moderate Importance	Significant Importance
Unknown				
Little/No Influence				
Moderate Influence				
Significant Influence				

Steps in Identifying Stakeholders

Step 1: Determining Influences on Mission, Vision, and Strategy Formulation

Step 2: Determining the Effects of Key Decisions on the Stakeholder

Step 3: Determining Stakeholders' Power and Influence over Decisions

Discussion

- What are stakeholders and why are they relevant to mission and vision?
- Are stakeholders equally relevant to all parts of P-O-L-C, or only mission and vision?
- What is stakeholder analysis? What are the three identification steps?
- How does stakeholder analysis help you craft a mission and vision statement?
- Which important stakeholders might you intentionally exclude from a mission or vision statement?
- What are the risks of not conducting stakeholder analysis as an input to the formulation of your mission and vision?

DEVELOPING YOUR PERSONAL VISION & MISSION

1. Identify Past Successes

2. Identify Core Values

3. Identify Contributions

4. Identify Goals

5. Write Mission and Vision Statements

Discussion

- How does a personal mission and vision statement differ from one created for an organization?
- What time period should a personal mission and vision statement cover?
- What type of goals should you start thinking about in creating a personal mission and vision?
- How are your strengths and weaknesses relevant to mission and vision?
- What stakeholders seem relevant to your personal mission and vision?